

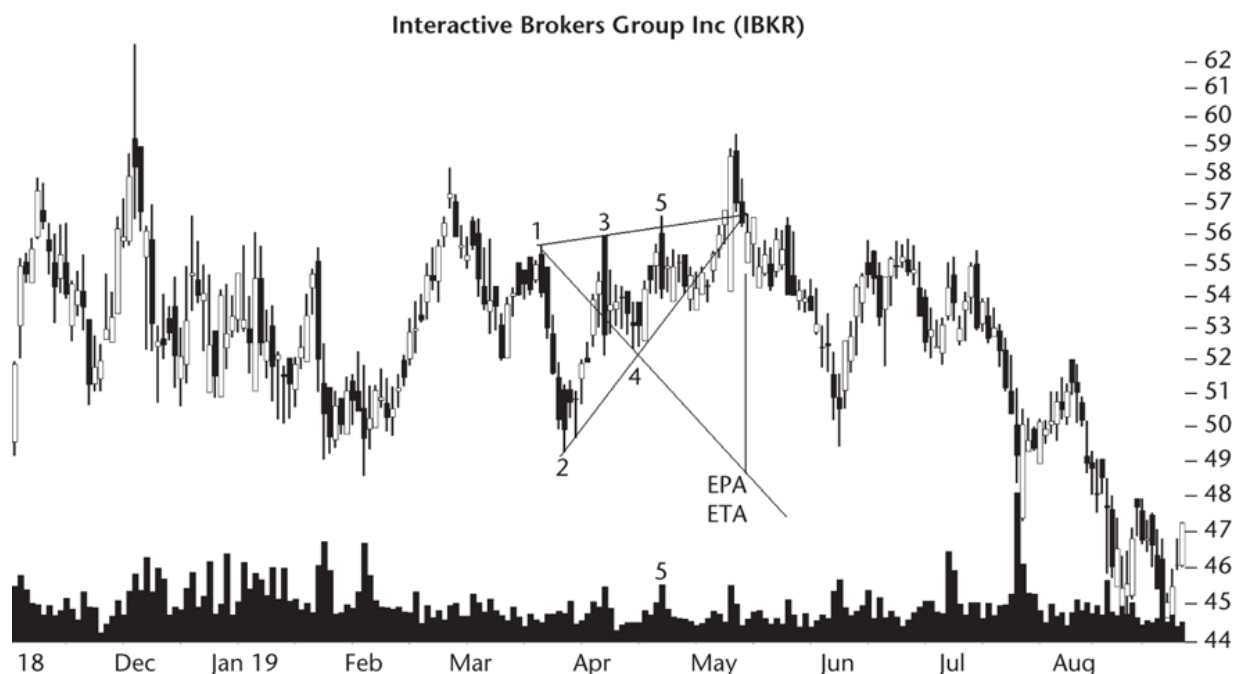


Figure 75.3 Price failed to perform as expected in this Wolfe wave.

I drew the ETA from the apex down until it met the EPA line (joining points 1–4). If the Wolfe wave worked as expected (or hoped), this would be the day the stock dropped to about 48. As you can see, price hasn't touched the EPA line (going into November 2019, not shown).

So what went wrong? This could be one example, carefully chosen, where the pattern didn't work. The reasons for it not working are unknown. However, the two prior charts do provide evidence. It's clearest on the first chart, [Figure 75.1](#). Notice how the pattern appears in a distinct and obvious uptrend. Even [Figure 75.2](#) shows an uptrend, starting from the low in December 2018. The stock wobbled at the top, formed a Wolfe wave, and down the stock went.

In [Figure 75.3](#), there is no uptrend. In fact, if you look at the longer-term chart, you'll see price is actually *declining*. You might think a declining price trend would help the pattern perform. Why? Because it's bearish and we *expect* price to drop. And yet, in this example, price drops for a bit after turn 5 but then makes a new high in May.

A check of the statistics suggests that when a Wolfe wave appears in a downtrend, price shows a larger decline, 12% (price trending down) to 10%